The world in brief

Catch up quickly on the global stories that matter

Photograph: AFP via Getty Images

Donald Trump said **America** and **Iran** had talked "directly and indirectly" and that Iran's new leaders were "very reasonable". But America's president also told the *Financial Times* that he wants to "take the oil in Iran" and may seize Kharg Island, which houses its main oil-export terminal. Meanwhile **Pakistan** said it was preparing to hold negotiations to end the war in the coming days.

Earlier Iran accused America of "secretly planning a **ground invasion**" after more American troops were deployed to the Middle East. The speaker of Iran's parliament said his country was "waiting" for American soldiers. Another Iranian official said his country would begin targeting the houses of America and Israeli "commanders and political officials in the region".

Oil prices rose and several **stock indices** slumped after markets opened in Asia. Brent, the global oil benchmark, soared past $116 a barrel, heading towards the biggest ever monthly jump (it has increased by 59% so far). Stockmarkets in China, Japan and South Korea fell during early trading. Aluminium prices rose after Iran struck two plants that produce the metal in the Middle East.

French officials said that two more people had been arrested in connection with a thwarted attempt to bomb **Bank of America's**

headquarters in Paris on Saturday. One was arrested at the scene after planting five litres of liquid and an ignition device near the building, according to Agence France-Presse. Laurent Nuñez, the interior minister, speculated that the attack could be linked to the Iran war.

Taiwan's opposition leader, Cheng Li-wun, will visit **China** in April, a month before Mr Trump makes his own trip to Beijing for a summit. The leader of the Kuomintang wants to bring her party back to power by pursuing reconciliation with China's leader, Xi Jinping. China's Communist Party refuses to engage with Taiwan's president, Lai Ching-te, who it considers a "separatist".

Eli Lilly announced a drug-development deal with Insilico Medicine, an artificial-intelligence company. In return for $115m now and up to $2.75bn over time plus royalties on future sales, Eli Lilly will set Insilico's research agenda and have the rights to the drugs it creates. The pharmaceutical firm has been funnelling much of the profits from its weight-loss drugs into AI, hoping to speed the development of new bestsellers.

Veron Mosengo-Omba resigned as the general-secretary of the Confederation of **African Football**. The governing body has been criticised since reversing the result of the African Cup of Nations on March 17th. During the final in January, Senegal walked off the pitch after Morocco was awarded a stoppage-time penalty. They eventually returned and won, but CAF decided that Senegal had forfeit. The Senegalese Football Federation is appealing.

Figure of the day: 85%, the share, by volume, of global trade that moves by sea. Read the full story.

Photograph: Bloomberg via Getty Images

Europe braces for impact

Europe's economy is among those most exposed to the effects of the war on Iran. On Monday the EU releases its consumer and business surveys, which will show just how much the first weeks of the war have hit confidence. Annual inflation could rise above 4% in the European Central Bank's "severe scenario" of a longer energy disruption with supplies affected until next year—something that looks increasingly plausible. Preliminary price data for March will be released on Tuesday.

European consumers' confidence was still below the long-term average before the war. According to an early release of the figures, it has taken a deep dive in March. Businesses' outlook has dropped sharply, too, according to an earlier release of the purchasing-managers' index, as input costs ticked up following the spike in energy prices. What might that amount to? The hit to real incomes and weaker global growth could shave 0.7 percentage points from euro-zone GDP growth, according to an analysis by Goldman Sachs.

Photograph: Getty Images

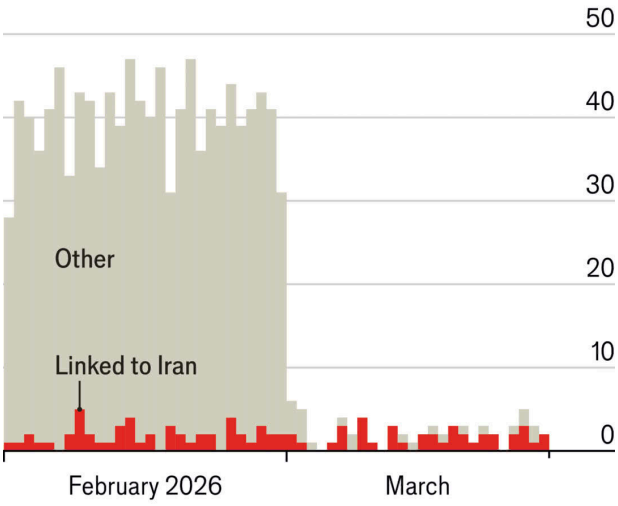
The Houthis have entered the Iran war

After the tens of thousands of bombs that have been dropped across the Middle East, the few missiles that Yemen’s Houthi militia fired at Israel on March 28th may seem trivial. But it may herald the opening of a new front in the Iran war.

At the start of the war the militia considered restraint to be in its interest. It hoped to strike a deal with Saudi Arabia to bolster Yemen’s flagging economy. That has not materialised. The war gives the Houthis fresh leverage. If they target shipping in the Red Sea while the Strait of Hormuz remains closed, oil prices could surge from their current price of around $116 a barrel to close to $200. It would take only a few strikes to make the Red Sea impassable. The question then will be whether the economic cost of the war becomes high enough for America to abandon it.

Iran contraband

Oil tankers passing through the Strait of Hormuz



Source: Vortexa

Photograph: AFP

Trump asks Congress for more money

As excuses for missing a deadline go, being distracted by the war you started is not the worst. But Donald Trump is late indeed to present his budget request, which should set out his funding priorities for the next fiscal year. Congress, which signs the cheques, expected the blueprint on February 2nd. The White House now says it will land this week, two months late.

The main fiscal action of Mr Trump's presidency has probably already happened. His "Big Beautiful Bill", passed last year, cut taxes and boosted spending on defence and immigration enforcement. It also set the stage for budget deficits of around 6% of GDP over the next decade. But the wish-list will nonetheless be informative. One question is whether his request for national-security spending will rise because of Iran. In January Mr Trump said he wanted a defence budget of $1.5trn, the largest ever. And has since requested $200bn for his new war.

Photograph: Getty Images

A changing of the guard in Myanmar

Myanmar’s legislature has begun the process of electing a new president. On Monday members nominated Min Aung Hlaing, a general who seized power in 2021, to serve a full five-year term. Judged against any reasonable standard, the junta supremo’s record in office should be an obstacle to his ambition. Since coming to power, the economy has shrunk by more than an eighth in real terms. And the regime has lost control of more than half the country to a violent uprising.

But General Min Aung Hlaing is unlikely to face much competition in the final vote in parliament on Tuesday. He banned any serious opposition from legislative elections, so the army controls 86% of the seats. Under the constitution the junta chief has, however, had to hang up his uniform to become president. Some inside and outside of Myanmar hoped that this might dilute his power. They will be disappointed. General Min Aung Hlaing has named a weak underling, General Ye Win Oo, to succeed him. The coup-maker remains firmly in charge.

Photograph: AP

America’s historic heat wave

Many parts of America have spent much of March sweltering under an unprecedented heatwave. In one week alone, more than 660 places—mostly in the south and west—experience their hottest-ever day for March, setting new records for at least a third of the country. Daniel Swain, a climate scientist, reckons that the heatwave is probably “among the most statistically anomalous extreme heat events ever observed in the American Southwest”.

The World Weather Attribution Group, a network of climate modellers, estimates that human-caused climate change made these conditions 800 times more likely to occur. Worse is yet to come. A recent report by the World Meteorological Organisation suggests that the temperature increase caused by each extra unit of greenhouse gases is greater than it once was. That is particularly bad news because recent observations suggest extreme heatwaves—the deadliest type of weather event—are themselves made more frequent and severe by rising temperatures than climate models previously projected.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Monday: Richard Nixon proposed which long-running Mississippi senator, who suffered from poor hearing, as an intermediary who should listen to the Watergate tapes and summarise them for investigators?

The self is indefinable.

Mary Calkins